

EVERYTHING REGRESSES TO THE MEAN

In virtually every culture, there is a phrase equivalent to “shirtsleeves to shirtsleeves in three generations.”

That’s because, statistically, there’s a tendency of families over time to regress to the ordinary, in every way.

The first generation is unusually expansive, creative, and hardworking. The next generation still has enough money, and enough of a recollection of how the money was made, to avoid squandering it all.

Then, by the third generation, the family has usually become quite usual—that is to say, the unique talents, luck, circumstances, drive, and ambitions that built the family fortune have disappeared, both from the gene pool and from the family memory. What you have is a typical bunch of people dealing with an unusually large amount of money in a typical way. That is, they are spending it, wasting it and handing it over to professional managers until it is all gone.

So how do you fight generational regression?

Make no mistake, your children are under a constant barrage of ideas that dull their senses and pull them down toward the mean. That’s what modern society and government do. Public schools, television, social media, mainstream news, sports, pop culture—nothing wrong with them. Most things are, by definition, ordinary. Your children are likely to be ordinary, too. In many cases, it’s the best we can hope for!

But if you want to have an extraordinary family, you have to do something extraordinary.

THE ROLE OF THE MATRIARCH

Here’s a surprise. You probably think the most important contribution to family money is made by the fellow who works night and day to make the